Tesla, Inc.

TSLA NASDAQ

Hold **$307.16** ▼ 0.55%

12M Price Target **$340.00**

52-Week Range $297.38 – $498.83

Market Cap $1.21T

TSLA: Stuck in Neutral as China Rumors, NHTSA Probe Weigh

WHAT HAPPENED

- Stock is basically flat but sitting near the bottom 5% of its 52-week range ($297–$499) — that's ugly. The NHTSA (federal auto safety regulator) opened a probe into 1.2 million Tesla vehicles, and there's a rumor Tesla might sell its China business, which Musk called "fake news." The market isn't panicking but it's not buying the denial either.
- Volume today ($13M shares) is a THIRD of the recent average — meaning big money is sitting on its hands waiting for clarity, not stepping in to buy the dip. That's a warning sign.

WHY IT MATTERS

Here's what this really means: TSLA is trading at the low end of its yearly range while Consumer Discretionary as a sector is UP 5.7% over five days — Tesla is being left behind by its own sector, which tells you the problems are Tesla-specific, not macro. The NHTSA probe matters because it's the SECOND major federal safety investigation into Tesla's autonomy tech in a year, and the whole $1.2T valuation depends on Robotaxi launching without regulatory handcuffs. Meanwhile, the options market is screaming caution — the put/call ratio at 1.25 with huge unusual put buying at $310 (right where the stock is) means big traders are paying real money to bet the stock breaks DOWN from here. This is a "show me" moment for the stock — without a Robotaxi catalyst or China clarity, there's no reason for it to bounce.

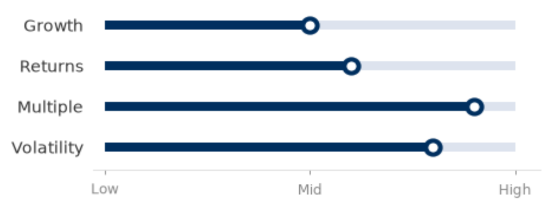
POLICY & POLITICAL WATCH

The big one: the federal $7,500 EV tax credit was killed under the Trump administration's tax bill last year, and that headwind is still working through Tesla's demand — cheaper EVs became less cheap overnight for buyers. On top of that, tariffs on Chinese-made components remain elevated, which squeezes Tesla's margins because their battery supply chain still touches China heavily (and China is ~20-25% of their revenue — hence why the "sale" rumor spooked people). The one policy tailwind: the Trump administration has signaled it wants to LOOSEN federal autonomous vehicle rules to help US companies beat China — if that executive action drops, it could be a real catalyst for Robotaxi, but the NHTSA probe complicates the narrative.

IS IT EXPENSIVE?

Key Data	
Price (USD)	**$307.16**
12M Price Target	**$340.00**
Upside / (Downside)	**+10.7%**
Market Cap	**$1.21T**
FY2026E Revenue	**$108M**
FY2027E Revenue	**$128M**
FY2026E EPS	**$2.15**
FY2027E EPS	**$2.90**
Fwd P/E	**143.0x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

TSLA — Tesla, Inc. | July 31, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$335.00**	$310.00	**$285.00**
6 Months	**$400.00**	$320.00	**$250.00**
1 Year	**$460.00**	$340.00	**$220.00**
2 Years	**$550.00**	$380.00	**$200.00**
5 Years	**$800.00**	$450.00	**$180.00**
10 Years	**$1200.00**	$550.00	**$150.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Consumer Discretionary (+5.7% over 5 days) is ripping on strong consumer data and rate-cut hopes — but Tesla isn't participating, which is telling. Communication Services holding up thanks to AI names.

COOLING OFF: Utilities (-3.6%) and Industrials (-2.1%) suggest money is rotating OUT of defensive/cyclical and INTO growth — normally that's Tesla's friend, but it's being left behind.

ROTATION WATCH: Money is flowing into consumer names but skipping Tesla and going to competitors — Rivian just popped on strong R2 rollout numbers, meaning EV demand exists, it's just not flowing to Tesla right now.

RELATED PLAY: If you like the autonomy theme without Tesla's baggage, look at chip suppliers (NVDA for auto AI, MBLY for autonomous tech) or watch RIVN which is stealing the "hot EV story" narrative.

WHO'S WINNING IN THIS SPACE?

- RIVN (Rivian): Popped on earnings — R2 rollout is working, and they're taking the EV growth narrative away from Tesla.
- BYDDY (BYD): Chinese EV giant continues to outsell Tesla globally — they're the reason the "sell China" rumor even has legs.

TSLA CONTEXT: TSLA is LAGGING its peer group badly right now. Rivian is up, BYD is winning share, and Tesla is stuck at 5% of its 52-week range. When a market leader trades this poorly relative to its sector, it usually means one of two things: either it's setting up a great contrarian buy, or the market knows something bad is coming. The heavy put buying suggests the latter.

WHAT I'D DO WITH THIS STOCK

5/10 Conviction Score

CONVICTION: 5/10 — I'm neutral. The long-term Robotaxi/Optimus story is real, but the near-term setup is ugly and the valuation gives you zero margin of safety.

POSITION SIZE: 2-3% max. This is a volatile name where you can lose 30% in a month — size it so you can sleep.

ENTRY POINTS: I'd wait for $290 or below (a re-test of the 52-week low) before adding. Chasing here with NHTSA hanging over it makes no sense.

TIME HORIZON: 12-24 months. The catalyst you're waiting for is Robotaxi scaling to 3+ cities with real revenue disclosure — that's when the AI multiple gets validated or destroyed.

WHEN TO BAIL: If auto gross margins drop below 15%, or NHTSA forces a material FSD change, or Musk announces he's stepping back from Tesla for other ventures — any of those and I'm out.

HEDGING: Simple version — pair a small TSLA position with a boring, profitable automaker like Toyota. If EVs stumble, Toyota wins. If Tesla wins, your TSLA position does the heavy lifting. You're basically betting on "cars" while letting Tesla be the lottery ticket on top.